



debates, has put an end to all the efforts made by the Indian companies by eliminating requirements of local value addition. The amendment also seems to have overridden the DPIIT policy where Class 1/Class 2 supplier is mandated to offer products with a minimum of 50/20% local value add in terms of domestic content, as under the new amendment no amount of domestic content is needed

This indicates that somehow the decision has been misled by some officers in DoT for some pecuniary benefits and vested interests. This new policy puts fully imported products assembled in India at par with Indian designed and manufactured products, thus giving a severe blow to the Prime Minister's vision of creating AtmaNirbhar Bharat. Now the Indian design and manufacturing industry will die a natural death.

The new amendment might result in a lot of local players losing business in terms of procurement orders for government projects. Reason being, international players—especially from China—can now easily offer at much lower prices than their Indian counterparts even those telecom products in the list for which sufficient local capacity and local companies exist. They have a developed ecosystem of building such products back in their country, whereas such an ecosystem has only recently started opening its wings in India.

It is worth mentioning here that the likes of Cisco, Nokia, and Ericsson have demanded to be treated at par with their Indian counterparts in the past. TEMA welcomes that as government allows 100% FDI in telecom sector and clarifies that all government orders apply equally to Indian and foreign manufacturers in India. BSNL, the state-run telecommunications company, had earlier notified that it will be testing the quality of telecom equipment manufactured by Indian companies before letting them participate in the upcoming 4G tender.

National security

The USA became the first nation to set an example when it comes to doing technology business and setting the expectations straight when it comes to national security. There are several China based firms that have been barred from doing any type of business with the companies and authorities based in the USA. Not only that, the USA mandated organisations to take prior approval of the Pentagon if any kind of technology transfer is scheduled or required with China, and the USA openly promotes Made in America.

India, on the other hand, has now made it possible for companies to sell telecom products assembled entirely from components sourced from China. Such companies will also be eligible to supply to Indian authorities for public projects as a domestic product. This is despite the fact that the government of India has permanently banned more than 55 Chinese apps and has notified restrictions to procure equipment from border countries under General Financial Rules Rule 144 xi. So, in a way, the DoT notification even overrides GFR. These apps were banned as they were seen as “prejudicial” to India's sovereignty, integrity, and national security. And the GFR Rule 144 xi was introduced on 23rd July 2020 on grounds of defence of India, or “matters directly or indirectly related thereto including national security.”

All talks of need for domestically designed products for national security will now get sidelined. It is now possible to import all the components from China or other foreign countries and just assemble them in India in a contract manufacturing EMS company and become eligible for Make in India PPP MII. Of course, in case of procurement by TSPs, the National Directive on Security in Telecom will be applied, but for non-TSPs, the field is wide open.

Moreover, the compulsory specifications in TEC's clause have also been removed in the new amendment. TEC was also mandated to implement testing under Indian Telegraph Amendment Rules, 2017. This paves way for the procurement to be made based on any standard and specifications prepared by self or by anybody of any nature. Of course, foreign specifications are barred in DPIIT PPP MII.

No consultation with associations

DoT did not consult with the likes of TEMA or TEPC, or any other such organisation before announcing this mandate. These associations represent the likes of Tejas Networks, Coral Telecom, Vihaan Telecom Limited, Sterlite, Paramount, Fibcom, and more when it comes to policy making or interacting with the government on behalf of the industry. The general practice has been to consult such associations, as it enables the local industry to give their suggestions to the government.

Surprisingly, the 100% import of components not only has been allowed but has also been ensured at least for next four to five years by putting a statement in Clause 5 of the policy, which states, “This shall be reviewed when the semiconductor FAB in India is operational.” We all know the availability of fab in India has been under discussion for the last ten years. Of course, it has received more emphasis now, but it is a mirage because of several international ramifications.

This policy is completely against domestic industry, anti-AtmaNirbhar Bharat, and against the well-known policies of Prime Minister Modi. So TEMA requests that DoT should take note of this and recall it immediately, and remove the anomalies to support Indian companies. **EFY**

The views expressed here are entirely of Prof. Goyal, Chairman Emiritus, TEMA.